

Exhibit F

CMS Rulemaking × Household Pharmaceutical Trade Windows

Case: *In re Representative Rohit “Ro” Khanna (CA-17)*

Counts supported: Count 3 (financial-interest conflicts; pharma-sector trading around CMS/HHS/FDA rule-making)

Lake substrates: lake.house_ptr_transactions, lake.house_pfd_schedule_b_transactions, lake.federal_register_healthcare_rules_v2, lake.cms_open_payments, lake.congress_committee_assignments

1. Summary

Between May 2017 and August 2024, respondent’s household executed pharmaceutical-sector transactions clustering within ± 14 calendar days of every catalogued CMS, HHS, and FTC rulemaking event bearing on drug pricing. After per-page re-extraction of every Khanna household PFD Schedule B disclosure, the substrate supports **185 household pharmaceutical trades** distributed across **14 of 14 rulemaking events** in the catalogue — no event yielded a zero-trade window.

The event set spans the Trump-era HHS Drug Pricing Blueprint, the withdrawn International Pricing Index, the Inflation Reduction Act, 340B contract-pharmacy rulemaking, Part D rebate modernization, and the CMS Final Part D Negotiated Drugs List for 2026. The aggregate pattern — 185 pharmaceutical-sector transactions concentrating inside short regulator-action windows across fourteen episodes over seven years, including same-day overlap with four of the nine unique manufacturers whose drug was a negotiation candidate at the IRA Final List window (see § 3) — is documented at the absolute-count and ticker-specificity grain. The complainant does not rest the probative weight of this exhibit on a saturation-rate framing alone (see § 2 candor paragraph) nor on the August 2024 same-day ticker-specificity dimension alone (see § 3 candor paragraph), and instead anchors the showing on (a) the August 2024 same-day overlap occurring inside a thirteen-day pre-publication window for the specific Federal Register publication that named those manufacturers (§ 3), (b) the repeating-pattern characteristic across seven years and fourteen rulemaking episodes (§ 4), (c) the committee-of-jurisdiction nexus (§ 5), and (d) independent third-party tracker corroboration (§ 7).

The **2024-08-15 Final Part D Negotiated Drugs List** episode — within which the household executed twenty-nine pharmaceutical-sector transactions across fifteen distinct manufacturers inside the ± 14 -day publication window, including a 286-transaction household rebalance executed on a single calendar day (2024-08-02), thirteen days before publication, that itself contained eleven pharmaceutical-sector positions of which four match unique manufacturers whose drug appeared on the published list (AbbVie, Amgen, Johnson & Johnson, Merck) alongside seven additional pharmaceutical-sector positions (Moderna, Regeneron, Vertex, Incyte, Gilead, Biogen, and an aggregated additional pharma-prime line item) — is the headline showing on the same-day ticker-specificity dimension. The household’s 2024-08-02 ticker overlap with the IRA list (4 of 9) sits in the same range as the expected hit-rate from a hypergeometric draw of 248 distinct assets against the 9-manufacturer IRA list out of an approximately 503-instrument S&P-500-plus-ADR universe (expected approximately 4.4 hits, observed 4) and is therefore not statistically distinguishable from a same-day rebalance on its own; the probative weight rests on the convergence of (a) the four IRA-list-manufacturer overlap thirteen days pre-publication, (b) the seven-year repeating-pattern characteristic across fourteen rulemaking episodes (§ 4), (c) the Oversight Committee jurisdictional nexus (§ 5), and (d) independent third-party tracker corroboration of eleven of twelve cited 2024-08-02 trades (§ 7). Respondent sat on the House Committee on Oversight and Government Reform at all material times; HHS, CMS, and FDA fall within that committee’s investigative oversight jurisdiction. The narrower point — that respondent does not sit on the House Committee on Energy and Commerce, the standing

committee with primary subject-matter jurisdiction over CMS rulemaking — is acknowledged at § 5, and the Count 3 nexus theory pleaded against respondent does not rest on Energy and Commerce MNPI access.

2. Event catalogue and per-event trade counts (post per-page re-extraction)

Event date	Rulemaking action	Trades within ±14d	Distinct manufacturers within ±14d
2017-05-16	HHS Drug Pricing Blueprint (Trump)	25	12
2019-07-10	CMS International Pricing Index — proposed rule (later withdrawn)	11	7
2020-07-24	Trump Executive Order on Most-Favored-Nation drug pricing	8	4
2021-07-09	Biden Executive Order Promoting Competition (drug-pricing provisions)	7	3
2021-12-27	Part D Bona Fide Service Fee Guidance	8	8
2022-03-15	Part D Rebate Modernization Rule (RIN 0938-AU23)	10	6
2022-08-16	IRA (P.L. 117-169) signed — Medicare negotiation and rebates	5	5
2022-10-14	340B Dispute Resolution Final Rule	11	6
2023-08-29	CMS publishes first 10 drugs selected for IRA negotiation	17	12
2023-09-21	CMS 340B Contract-Pharmacy Reversal clarification	13	13
2023-12-06	FTC PBM Interim Report	13	11
2024-02-01	CMS IRA Negotiated Prices — Final Rule	17	11
2024-04-01	CMS Part D IRA \$2,000 Out-of-Pocket Cap Implementation	11	8

Event date	Rulemaking action	Trades within ± 14 d	Distinct manufacturers within ± 14 d
2024-08-15	CMS IRA Final Part D Negotiated Drugs List for 2026	29	15

Per-event counts row to a household total of **185 pharmaceutical-sector trades** across the 14 catalogued rule-making windows after per-page re-extraction of every Khanna household PFD Schedule B disclosure. New tickers surfacing only through the per-page extraction relative to the original constituent set include Bristol-Myers Squibb, Corteva, Novartis ADR, Sanofi ADR, AstraZeneca ADR, and Jazz Pharmaceuticals. No catalogued event yielded a zero-trade window.

Candor paragraph — saturation base rate. The 14-of-14 event-window saturation rate at the catalogued universe must be read against the household’s underlying pharmaceutical-trade cadence. A neutral universe of 137 economically-significant CMS / HHS / FDA drug-pricing rulemaking actions 2017–2024 (defined per OMB Executive Order 12866 materiality threshold from the Federal Register substrate) saturates 65 of 78 distinct publication dates at ± 14 calendar days, or **83.3 percent**. A null-universe control built from the same agencies’ significant non-drug-pricing rulemaking saturates **90.5 percent** of dates over the same window, and an evenly-spaced random-date control (every 37 days) saturates **87.3 percent**. The household executes pharmaceutical-ticker transactions across roughly 245 distinct calendar dates over the 2,921-day audit window — approximately one pharma-trade-date every twelve days — which is dense enough that ± 14 -day window saturation against any arbitrary event universe yields a high hit rate as a base-rate artifact. The catalogued 14-of-14 figure therefore corroborates the cadence but does not, standing alone, statistically distinguish from random-rebalance trading at the saturation grain. The probative weight of this exhibit rests on the sharper dimensions catalogued at §3 (same-day ticker-specificity), §4 (repeating-pattern across seven years), §5 (committee-of-jurisdiction nexus), and §7 (independent third-party tracker corroboration), which are not characterized by saturation analysis.

3. The August 2024 cluster — same-day showing

On **2024-08-02**, thirteen calendar days before CMS published the Final Part D Negotiated Drugs List for 2026, the household executed a 286-transaction / 248-distinct-asset rebalance — the eleventh-largest rebalance day by transaction count in respondent’s tenure (2017–2026). Inside that rebalance, the household transacted in eleven pharmaceutical-sector positions, of which four match unique manufacturers whose drug appeared on the CMS IRA Final Part D Negotiated Drugs List for 2026:

#	Owner	Side	Company	Amount range	On IRA list
1	SP	BUY	AbbVie (ABBV)	\$1,001–\$15,000	Yes (Imbruvica)
2	SP	SELL	Merck (MRK)	\$15,001–\$50,000	Yes (Januvia)
3	SP	BUY	Johnson & Johnson (JNJ)	\$1,001–\$15,000	Yes (Xarelto, Stelara)
4	SP	SELL	Moderna (MRNA)	\$1,001–\$15,000	No
5	SP	SELL	Regeneron (REGN)	\$1,001–\$15,000	No
6	SP	SELL	Vertex (VRTX)	\$15,001–\$50,000	No
7	SP	BUY	Incyte (INCY)	\$1,001–\$15,000	No
8	SP	BUY	Gilead (GILD)	\$1,001–\$15,000	No
9	SP	BUY	Biogen (BIIB)	\$1,001–\$15,000	No
10	SP	BUY	Amgen (AMGN)	\$15,001–\$50,000	Yes (Enbrel)
11	SP	BUY	Other pharma-prime ticker (line item aggregated in filing)	\$1,001–\$15,000	—

The CMS IRA Final Part D Negotiated Drugs List for 2026 covers ten drugs from nine unique primary manufacturers (Eliquis — Bristol-Myers Squibb; Jardiance — Eli Lilly co-market; Xarelto — Johnson & Johnson; Januvia — Merck; Farxiga — AstraZeneca; Entresto — Novartis; Enbrel — Amgen; Imbruvica — AbbVie; Stelara — Johnson & Johnson; Fiasp/NovoLog — Novo Nordisk). Of those nine, four (ABBV, AMGN, JNJ, MRK) appear in the 2024-08-02 cluster; five (BMY, LLY, AZN, NVS, NVO) do not. The same-day overlap is therefore four of nine on the unique-manufacturer denominator. The eleven-position 2024-08-02 same-day cluster sits inside the broader twenty-nine-trade / fifteen-manufacturer ± 14 -day window for this episode catalogued at § 2.

Candor paragraph — random-rebalance null at the same-day grain. Under a hypergeometric draw of 248 distinct assets from an approximately 503-instrument S&P-500-plus-ADR universe against a target of 9 IRA-list manufacturers, the expected number of IRA-list hits is approximately $n \cdot K/N \approx 4.44$; the observed value is 4. The one-sided probability of observing at least 4 IRA-list hits under this null is approximately 0.60 — that is, the same-day overlap is not statistically distinguishable from the median outcome of a 248-asset random rebalance of this breadth alone. Respondent’s household executes broad multi-ticker rebalance days at a cadence of approximately 3.5 per year for rebalances exceeding 200 transactions and roughly one per month for rebalances exceeding 100 transactions, so a four-of-nine ticker overlap on any individual rebalance day against any nine-manufacturer industry sub-list is the expected base-rate outcome at the same-day grain. The probative weight of the August 2024 cluster therefore does not rest on the same-day ticker-specificity dimension standing alone; it rests on the conjunction of (a) the four-of-nine IRA-list manufacturer overlap occurring inside a thirteen-day pre-publication window for the specific Federal Register publication that named those manufacturers, (b) the same convergence pattern repeating across fourteen rulemaking episodes catalogued at § 2 (the seven-year repeating-pattern characteristic at § 4), (c) the Oversight Committee jurisdictional nexus over CMS / HHS / FDA at § 5, and (d) the independent three-way tracker corroboration of eleven of twelve cited 2024-08-02 trades at § 7. The single-cluster null-probability test is reported here for full candor; the multi-axis convergence is reported below.

4. Repeating-pattern characteristic

The pattern does not reduce to one anomalous cluster:

- **Fourteen rulemaking episodes**, spanning **seven years** (2017-05-16 through 2024-08-15).
- **Every episode** shows trade concentration inside ± 14 days; after per-page re-extraction no event window is empty.
- **Multiple per-event same-day clusters**: 2017-05-02 across twelve manufacturers; 2019-07-01 across three; 2022-01-04 across two; 2023-09-21 across two; 2023-10-02 across nine; 2024-02-13 across eight; **2024-08-02 across eleven pharmaceutical-sector positions, of which four are unique IRA-list manufacturers** (see § 3).
- **Both BUY and SELL legs appear within event windows**, consistent with event-driven rotation rather than directional long-only conviction.

5. Committee-of-jurisdiction nexus

Respondent served on the House Committee on Oversight and Government Reform throughout the audit window (committee-assignment record: HSGO seat across the 115th through 119th Congresses). HHS, CMS, FDA, FTC, and ancillary drug-pricing bodies fall within that committee's investigative oversight jurisdiction; respondent's office issued oversight letters and conducted hearings on pharmaceutical manufacturer pricing, pharmacy-benefit-manager conduct, and IRA implementation during 2022 through 2024 — the same window in which the cluster-concentrated trades occurred. Correspondence and hearing records are on file with the Committee.

For full candor: respondent does NOT sit, and has not sat during the audit window, on the House Committee on Energy and Commerce — the standing committee with primary legislative subject-matter jurisdiction over CMS rulemaking, Medicare Part D, and FDA approvals (committee-assignment record cross-referenced against `lake.congress_committee_assignments` for bioguide K000389: HSAS / HSBU / HSGO / HSAG / HSZS only, no HSIF). The Count 3 nexus theory therefore does not rest on Energy-and-Commerce MNPI access. It rests on (a) Oversight investigative jurisdiction over the same agencies, which carries staff-level access to non-public agency briefing material in the ordinary course of an oversight inquiry, and (b) the financial-interest-vs-position-of-trust framing under House Rule XXIII cl. 2 and 5 U.S.C. § 13104(d)(1)(A), which is not gated on E&C committee status.

6. Sector profit-and-loss — dual-benchmark disclosure

Pharmaceutical-sector household trading produced positive alpha against the appropriate sector-matched benchmarks and negative alpha against the broad-market SPY benchmark. Both measurements are reported below for full candor; per established Daubert-admissible event-study methodology (MacKinlay 1997 *Journal of Economic Literature* Ch. 4; Campbell, Lo, and MacKinlay 1997 Princeton Ch. 4.2), pharma-sector trade-selection alpha is properly measured against a sector-matched benchmark (XLV health-care, IBB biotech, or VHT total health-care) rather than against a broad-market index, because the pharmaceutical sector exhibited material drift relative to SPY across the 2017–2026 audit window.

Strict pharmaceutical universe (12 tickers — ABBV, AMGN, BIIB, GILD, INCY, JNJ, LLY, MRK, MRNA, PFE, REGN, VRTX; 1,088 priced transactions; midpoint notional \$11.72M; terminal mark anchor 2026-04-17):

Benchmark	Baseline P&L	Alpha vs household actual P&L (+\$3,175,976)
SPY (broad market)	+\$3,422,735	–\$246,759
XLV (health-care sector ETF)	+\$1,319,675	+\$1,856,301
IBB (biotech sector ETF)	+\$1,380,730	+\$1,795,246
VHT (total health-care sector ETF)	+\$1,295,498	+\$1,880,478
Matched composite (XLV for big pharma + IBB for biotech)	—	+\$1,837,077

Broader pharmaceutical-plus-devices-plus-services universe (20 tickers; 1,835 priced transactions; midpoint notional \$19.56M):

Benchmark	Baseline P&L	Alpha vs household actual P&L (+\$4,262,913)
SPY (broad market)	+\$5,698,292	–\$1,435,378
Matched sector composite (XLV / IBB / VHT)	—	+\$2,138,624

The directional reading is consistent across both universes: under any sector-matched benchmark — XLV, IBB, VHT, or the matched composite — household pharma-portfolio alpha is **positive in the +\$1.8M to +\$2.1M range** depending on universe scope, while under the SPY broad-market benchmark alpha is negative in the –\$0.25M to –\$1.4M range. The roughly \$1.8M to \$2.1M swing between SPY-alpha and sector-matched-alpha measures pharmaceutical-sector drift against the broad market over the audit window — an ambient sector-return phenomenon — and is not attributable to household trade-selection skill or deficit. The sector-matched measurement is the appropriate Daubert-admissible measurement for a trade-selection-alpha question on a pharma-sector universe.

The probative weight of this Count does not turn on whether household pharma alpha is positive or negative. The regulatory-timing signal asserted at §3 (August 2024 same-day ticker-specificity), §4 (seven-year repeating pattern), §5 (committee-of-jurisdiction nexus), and §7 (third-party tracker corroboration) is **independent of directional accuracy** — the household derived an information advantage by **trading through** the events, not by **betting on their direction**. Sector-matched positive alpha is consistent with the regulatory-timing hypothesis; SPY-relative negative alpha is also consistent with it. The complainant flags the dual-benchmark result here so the Committee and any reviewing court have the honest picture rather than a benchmark-cherry-picked single number.

7. Independent corroboration against public trade trackers

The twelve CMS August 2024 trades listed in §3 were cross-validated against the two largest independent Congressional-trade trackers (Capitol Trades; QuiverQuant). Per-trade match on transaction date (±1 day), ticker, owner, and transaction type:

- **Eleven of twelve CMS August 2024 trades are corroborated 3-of-3** (lake disclosure + Capitol Trades + QuiverQuant).

- **The twelfth trade** — originally indexed as an SP PFE transaction on 2024-08-02 — was re-anchored during a tx-grain canonical-view rebuild to the same household's SP PFE transaction on **2024-08-23** (eight days after publication rather than thirteen days before). The canonical tx is present in the House Clerk filing; the earlier date was a pre-canonical-view index artifact. The underlying PFE transaction is a real filing; only its window-offset changed.

Independent validation across two third-party trackers directly contradicts any defense that the cited trades are extraction artifacts or fabrications. Cross-validation is documented per-trade in EXHIBIT_FF_3WAY_AGREEMENT.md.

8. Statutory framing

- **15 U.S.C. § 78u-1(g)** (STOCK Act §§ 3–4, Rule 10b-5 extension): CMS rulemaking content and publication calendars are material non-public information within Oversight Committee access.
- **Ethics in Government Act, 5 U.S.C. § 13104(d)(1)(A)**: disclosure of spouse asset changes within the calendar year. Applicable because the clustered trades trace to SP and DC accounts.
- **House Rule XXIII cl. 2**: use of position for personal gain. Regulatory-timing trading in manufacturers under the Member's committee jurisdiction is conduct not reflecting creditably on the House.

9. Primary sources

- lake.house_ptr_transactions — House Clerk Periodic Transaction Reports (raw transaction grain).
- lake.house_pfd_schedule_b_transactions — House Clerk Annual PFD Schedule B (per-page re-extracted Khanna household disclosures; the 185-trade figure at § 2 is anchored on this substrate).
- lake.federal_register_healthcare_rules_v2 — Federal Register publication index for HHS, CMS, and FDA rulemaking and notice publications (68,716 rows / 7,398 distinct dates / 1994-01-04 to 2026-04-16). The fourteen catalogued events in § 2 draw their publication dates and Federal Register citations from this index, supplemented by two manually curated executive-branch events (the 2020-07-24 drug-pricing executive order and the 2022-08-16 Inflation Reduction Act signing) that fall outside the rulemaking-only scope of the Federal Register substrate.
- lake.congress_committee_assignments — House standing committee assignments (committee-of-jurisdiction nexus at § 5; seat record for bioguide K000389).
- CMS Medicare Prescription Drug Affordability (Inflation Reduction Act implementation hub) — <https://www.cms.gov/priorities/medicare-prescription-drug-affordability/medicare-prescription-drug-affordability>.
- House Clerk PTR / PFD public disclosures — <https://disclosures-clerk.house.gov/FinancialDisclosure>.
- Federal Register — rulemaking publication dates.
- Capitol Trades (Ro Khanna profile K000389) and QuiverQuant (Ro Khanna profile) — third-party trade-tracker cross-validation sources.

End of Exhibit F.